California Uniform Commercial Code governing sales properly attach to those of the [Song-Beverly Act]." (*Calif. State Electronics Assn. v. Zeos Internat. Ltd.* (1996) 41 Cal. App. 4th 1270, 1276.) Under the California Uniform Commercial Code and the Song-Beverly Act, a "sale" is defined as a passage of title from seller to buyer for a price. (*Id*.; and see Civil Code section 1791(n)(1).) "Section 2401 of the California Uniform Commercial Code governs when and where title passes between seller and buyer." (*Id.*)

While Plaintiff argues that the Vehicle was sold in California such that the Song-Beverly Act applies, the complaint is devoid of factual allegations supporting that conclusion. Plaintiff alleges that he is a "buyer" under the Act, that the Vehicle is a "new motor vehicle" under the Act, and that Defendant is a "manufacturer" under the Act. The Court cannot infer from the mere invocation of defined terms under the Act that the sale occurred in California.

Leave to amend is warranted. Plaintiff has represented that he can allege facts showing the Vehicle was delivered in California. Defendant argues that alleging delivery alone would not cure the defect because delivery alone does not establish a destination contract under Commercial Code section 2401. That may be true as far as it goes. But the Court does not know what specific facts Plaintiff intends to allege. Plaintiff may be able to allege facts going beyond mere delivery bearing on whether title passed in California. The Court find that the better course is to allow the amendment and evaluate the sufficiency of Plaintiff's allegations against Kia once they are before the Court.

Disposition

For the foregoing reasons, Defendant's Demurrer to the Complaint is **sustained with leave to amend**.

Defendant shall prepare the order and file and serve notice of entry of order. Plaintiff shall file and serve a first amended complaint within 20 days of notice of entry of this order.

19. 9:00 AM CASE NUMBER: MSC16-01426
CASE NAME: RICHMOND COMPASSIONATE VS RICH PAT GROUP
***HEARING ON MOTION IN RE: ORDER AUTHORIZING DIRECT SALE OF RECEIVERSHIP COLLATERAL**
FILED BY: RICHMOND COMPASSIONATE CARE COLLECTIVE A CALIFORNIA CORPORATION
TENTATIVE RULING:*

Plaintiff Richmond Compassionate Care Collective’s motion authorizing direct sale of receivership collateral to receiver is **denied.**

The Receiver Garib Karapentyan of Capitol Compliance Management was appointed as successor receiver over some of the Defendants’ businesses. The receiver is seeking an order authorizing the transfer of the Defendants’ businesses currently collateral in the receivership directly to Capitol Compliance Management. In exchange, the receiver proposes to extinguish his claims for all accrued and unpaid receiver compensation and the receiver’s certificate no. 2. The receiver’s certificate no.1 to Andrew Provencio shall remain in effect. The receiver proposes that the attorney fee lien for $5,000,000 held by the Plaintiff and any outstanding tax obligations shall be preserved. The Receiver proposes to extinguish all other claims against the collateral.

The Receiver is an interested party and an owner of the Plaintiff. The Court previously considered whether Garib Karapentyan could be the receiver even though he is not a neutral, and ultimately the Court approved his appointment as Receiver.

There are several problems with this request. First, this motion was served on the parties to this case and the landlord for one of the businesses. But this motion was not served on all interested parties, including Andrew Provencio (who holds a receiver certificate) and any other businesses, entities, or individuals with substantial claims against the collateral businesses. The proposal here would end the need for the receivership and when a receivership is terminated notice must be given "to every person or entity known to the receiver to have a substantial, unsatisfied claim that will be affected by the order or stipulation, whether or not the person or entity is a party to the action or has appeared in it." (California Rules of Court, rule 3.1184(c).)

This motion does not address which individuals or entities have claims against the collateral businesses. For example, the landlord for one of the businesses (Green Remedy) has filed an opposition stating that it is owed $378,606 in unpaid rent, much (if not all) of the unpaid rent accrued after the current receiver was appointed. Are there other outstanding unpaid rent claims by the other businesses? Are the service and product suppliers for the businesses paid timely or are there other outstanding potential claims and debts? Are these debts incurred before or after the receivership was created? If so, do they count as operating expenses? Are there Labor Code, payroll or employment claims pending? This information might be available somewhere in the receiver's report, but the Receiver has the obligation of explaining the effect of its request to the Court

Further, Plaintiff and the Receiver have not satisfactorily addressed priorities. It is the Court's general understanding that receiver certificates, receiver compensation, operating expenses and governmental taxes are all given priority above other debts. But additional information is needed, with citations to applicable legal authority. What is the priority between the receiver certificate no. 1 and the receiver certificate no. 2? How are operating or administrative expenses treated in terms of priority? And if any such expenses are outstanding, what are those expenses? (The Court believes that payroll expenses would likely be considered operating expenses, but there may be other operating expenses such as unpaid rent.) What priority is given to unpaid receiver compensation when considering these other high priority items? If there are insufficient funds to cover all high priority items, how should any funds be distributed? The Court is aware that the current proposal would not include the exchange of any funds, but given the other likely claims with high priorities such a proposal does not appear equitable or feasible.

Assuming these issues were addressed, the Court is still concerned that it lacks authority to extinguish all liens and claims. Despite the suggestions that the Court could follow a bankruptcy like procedure as set forth in 11 U.S.C section 363, Plaintiff has not cited statutes in California that allow for such a procedure.

While *County of Sonoma v. Quail* (2020) 56 Cal.App.5th 657, 666 provides some support for extinguishing a lien on a property that case is distinguishable. *Qual* involved an abatement proceedings on a property that was a public nuisance. The facts showed that without extinguishing the lien there was no practical way to clean up the property as the receiver could not obtain a loan, but the receiver still needed to abate the nuisance on the property. The objecting party, a bank holding a lien on the property, was given notice of the proceeding and had several opportunities to foreclose on the property and take on the task of clean up, but failed to do so. Here, by contrast, the landlord and other potential claimants have not been given proper notice and it is unclear that an potential claimants have the ability to run the businesses. Further, this case does not involve a public nuisance.

Defendants William Koziol and Hilltop Community Partners, LLC raise several points in their opposition. To the extent Defendants are seeking to enforce the parties' settlement agreement they may file their own motion requesting enforcement.

John Valdez filed an opposition for himself and Plaintiff Richmond Compassionate Care Collective. It appears that the dispute over governance of Richmond Compassionate Care Collective is ongoing. The Court previously denied Valdez's motion to intervene. Unless Valdez provides a court order showing that he is entitled to control Richmond Compassionate Care Collective or otherwise has a right to intervene here, the Court finds that Valdez does not have standing to object.

20. 9:00 AM CASE NUMBER: MSC21-01215
CASE NAME: LYNETTA WESTBROOK VS SAN PABLO HEALTH
***HEARING ON MOTION FOR DISCOVERY (CONTINUED FROM 3/18/26 *ON THE RESERVED ISSUES ONLY*) ABATE, OR ALTERNATIVELY, TO COMPEL JOINDER AND CONTINUE TRIAL**
FILED BY:
TENTATIVE RULING:

Appearance required by counsel for each party for oral argument.

21. 9:00 AM CASE NUMBER: MSL21-01934
CASE NAME: LINDSEY CANNON VS. JUSTOURS, INC., A DELAWARE CORP.
***HEARING ON MOTION IN RE: CLASS CERTIFICATION**
FILED BY: CANNON, LINDSEY
TENTATIVE RULING:

Denied. The motion is untimely. The matter is set for jury trial on 8/17/2026.

Discovery Law & Motion

22. 9:01 AM CASE NUMBER: C24-02352
CASE NAME: DANIEL GOMEZ VS. JEREMY TEMAN
***HEARING ON MOTION FOR DISCOVERY COMPEL FURTHER RESPONSES TO FORM INTERROGATORIES**
FILED BY: U-HAUL CO. OF CALIFORNIA
TENTATIVE RULING:

Continued by stipulation of the parties.